

Exhibit 14: Page has not retained unallocated cash on its balance sheet

Particulars	FY09	FY10	FY11	FY12	FY13	FY14	FY15	FY16	FY17
Cash Equivalent (Rs mn)	103	30	26	31	56	35	44	86	727
<i>as a % of net worth</i>	<i>11.9%</i>	<i>3.0%</i>	<i>2.1%</i>	<i>1.9%</i>	<i>2.1%</i>	<i>1.2%</i>	<i>1.1%</i>	<i>1.6%</i>	<i>3.1%</i>
<i>as a % of capital employed</i>	<i>8.0%</i>	<i>1.9%</i>	<i>1.1%</i>	<i>1.4%</i>	<i>1.5%</i>	<i>0.8%</i>	<i>0.8%</i>	<i>1.4%</i>	<i>2.8%</i>
Dividend (incl. DDT*) as % of PAT	70%	69%	58%	53%	58%	51%	49%	47%	48%

Source: Company, Ambit Capital

* DDT is dividend distribution tax.

In its twenty-three years of operation, Page has consistently widened the gap between itself and competition and achieved steady market share gains without compromising on its pricing power. Central to this success has been the firm's deepening of its moats through the following factors:

'Manufacturing prowess' is Page's biggest competitive advantage. Innerwear is a highly labour-intensive industry with limited scope for automation. This calls for astute labour management as the business grows. Whilst several of Page's competitors have suffered from labour unrest or annual workforce attrition level as high as 100 per cent, Page has maintained this figure at only 12 to 13 per cent. This has been achieved through: a) measured capacity expansion with no more than 1500 labourers in a single factory, which reduces the risk of unionization; b) focus on hiring women (who historically have been less prone to unionization than Indian men); and c) lifestyle support provided to the workforce. This workforce is regularly trained to ensure high efficiency levels. These aspects have been supported by use of operational efficiencies and R&D to help it produce a high-quality product.

Page has also built a very strong front-end with innovative marketing, retail and distribution. Unlike a wholesale-based distribution channel for larger competitors like Rupa, Page has built a strong network of exclusive distributors who are well-incentivized to create a push-based demand¹³ at mom-and-pop stores. In addition to this, Page has also rolled out a wide network of over 350 exclusive brand outlets (targeting to cross 1000 outlets